

identification guidelines, and then gathered statistics. The pattern performed better than I expected.

As the accompanying Results Snapshot shows, in bear markets the pattern has a 9% breakeven failure rate—ranking tenth out of 19 (not shown). The average decline is 23%, a good showing for a bearish pattern. The performance ranks are even better. They are close to the best performance (a rank of one).

The percentage meeting price target is based not on the height of the pattern, but on the height of the handle to boost the success rate. Subtract the handle's height from the right cup rim to get a target.

Let's whip out our magnifying glasses for a closer look.

Tour

[Figure 22.1](#) shows an example of an inverted cup-with-handle pattern (icup). The pattern looks like a rounded top but includes a handle on the right side of the pattern. This particular handle is narrow and tall, retracing (from A to B) a significant portion of the decline from the top of the pattern to the right cup rim (point A). Price continues dropping, confirming the pattern as a valid one when it closes below the right rim. The figure shows price gapping lower (breakaway gap) on high volume, but do not expect such behavior. Once the icup confirms, price drops but usually not as steeply as that shown.